

ANSWERS OF MODEL TEST PAPER 2

INTERMEDIATE: GROUP – II

PAPER – 5: AUDITING AND ETHICS

SUGGESTED ANSWERS / HINTS

PART I - Multiple Choice Questions

1. (b)
2. (c)
3. (a)
4. (b)
5. (d)
6. (c)
7. (c)
8. (d)
9. (d)
10. (d)
11. (a)
12. (c)
13. (c)
14. (c)
15. (a)

PART II -Descriptive Answers

1. (a) Audit Sampling refers to the application of audit procedures to less than 100% of items within a population relevant under the audit such that all sampling units (i.e. all the items in the population) have an equal chance of selection.

In the given situation, senior team member is not selecting items for testing by means of audit sampling. He is only selecting specific items from a population. In accordance with SA 500, one of the means available to auditor for selecting items for testing is “by selecting specific items.”

Specific items selected may include: -

- **High value or key items:** The auditor may decide to select specific items within a population because they are of high value, or exhibit some other characteristic, for example, items that are suspicious, unusual, particularly risk-prone or that have a history of error.
- **All items over a certain amount:** The auditor may decide to examine items whose recorded values exceed a certain amount so as to verify

a large proportion of the total amount of a class of transactions or account balance.

- **Items to obtain information:** The auditor may examine items to obtain information about matters such as the nature of the entity or the nature of transactions.

Therefore, Sanjeev's understanding is not proper.

The above approach for selecting items for testing is subject to non-sampling risk. Non-sampling risk is the risk that auditor may reach an erroneous conclusion for any reason not related to sampling risk. Like, erroneous conclusion may be reached due to some inappropriate audit procedure.

(b) In carrying out audit of advances, the auditor is primarily concerned with obtaining evidence about the following: -

- (i) Amounts are included in balance sheet in respect of advances which are outstanding at the date of the balance sheet.
- (ii) Advances represent amount due to the bank branch.
- (iii) Amounts due to the bank branch are appropriately supported by loan documents and other documents as applicable to the nature of advances.
- (iv) There are no unrecorded advances.
- (v) The stated basis of valuation of advances is appropriate and properly applied and the recoverability of advances is recognised in their valuation.
- (vi) The advances are disclosed, classified and described in accordance with recognised accounting policies and practices and relevant statutory and regulatory requirements.
- (vii) Appropriate provisions towards advances have been made as per the RBI norms, Accounting Standards and generally accepted accounting practices.

(c) Subsequent events are events occurring between the date of financial statements and the date of the auditor's report and facts that become known to the auditor after the date of the auditor's report.

In the given case, the company had already made provision of ₹ 10 lakhs in financial statements for year 2022-23. However, there is an out of court settlement between the company and employee for ₹ 6 lakhs.

It is an example of event which provides evidence of conditions that existed at the date of financial statements i.e. 31st March, 2023. It provides evidence on adjustment in provision amount already made in financial statements. Therefore, internal auditor should ask management to revise provision downwards to ₹ 6 lakhs so that financial statements are in accordance with applicable accounting standards.

- (d) As given above, the engagement involves gathering of sufficient appropriate evidence on the basis of which limited conclusion can be drawn up. It is a limited assurance engagement like review. Other two features of such type of engagement are: -
- (1) It provides lower level of assurance than reasonable assurance engagement.
 - (2) It performs fewer procedures than reasonable assurance engagement.
2. (a) Written representation about management's responsibilities involves confirmation of fulfilment of management's responsibilities in following areas: -
- (I) Preparation of the financial statements**
- The auditor shall request management to provide a written representation that it has fulfilled its responsibility for the preparation of the financial statements in accordance with the applicable financial reporting framework, including, where relevant, their fair presentation, as set out in the terms of the audit engagement.
- Due to its responsibility for the preparation and presentation of the financial statements and its responsibilities for the conduct of the entity's business, management would be expected to have sufficient knowledge of the process followed by the entity in preparing and presenting the financial statements and the assertions therein on which to base the written representations.
- (II) Information provided and completeness of transactions**
- The auditor shall request management to provide a written representation that: -**
- (i) It has provided the auditor with all relevant information and access as agreed in the terms of the audit engagement and
 - (ii) All transactions have been recorded and are reflected in the financial statements.
- (b) Prior to auditor's identification and assessment of risks of material misstatement, planning includes the need to consider following matters:
1. The analytical procedures to be applied as risk assessment procedures.
 2. Obtaining a general understanding of the legal and regulatory framework applicable to the entity and how the entity is complying with that framework.
 3. The determination of materiality.
 4. The involvement of experts.
 5. The performance of other risk assessment procedures.

(c) In an initial audit engagement, in the case of inventories, the current period's audit procedures on the closing inventory balance provide little audit evidence regarding inventory on hand at the beginning of the period. Therefore, additional audit procedures may be necessary, and one or more of the following may provide sufficient appropriate audit evidence:

- Observing a current physical inventory count and reconciling it to the opening inventory quantities.
- Performing audit procedures on the valuation of the opening inventory items.
- Performing audit procedures on gross profit and cut-off.

(d) Internal Control Questionnaire

- Are competitive quotes obtained from different insurers?
- Is comprehensive insurance cover obtained for fire, flood, burglary, earthquake risks etc.?
- Are all three locations in city A and B covered?
- Are all assets consisting of building, plant & machinery and inventories covered?
- Is there an adequate procedure to ensure that assets acquired between two renewal dates are also covered by insurance?
- Is there an official who decides on value for which policies are taken?
- Does officer who decides on policy value review periodically adequacy of insurance cover?
- Is loss-of-profits insurance cover taken?
- Have there been any instances of rejection of claims?
- Are pending claims followed-up with insurers?

3. (a) The above disclosure is not in accordance with requirements of Division I of Schedule III of the Companies Act, 2013. The discrepancies are as under: -

- (1) The Company has wrongly disclosed information for trade receivables in a manner which is applicable for trade payables.
- (2) No distinction between MSME and other trade receivables is required.
- (3) Trade receivables are to be categorised into undisputed and disputed trade receivables as under: -
 - Undisputed trade receivables considered good
 - Undisputed trade receivables considered doubtful
 - Disputed trade receivables considered good

- Disputed trade receivables considered doubtful
- (4) Aging is to be reflected for each of above categories in respect of outstandings for the following periods from due date of payment
- for less than 6 months
 - 6 months-1 year
 - 1- 2 years
 - 2-3 years
 - more than 3 years
- (5) Following information is also required to be disclosed: -
Trade receivables shall be sub-classified as:
- (a) Secured, considered good
 - (b) Unsecured, considered good
 - (c) Doubtful.
- (6) Allowance for bad and doubtful debts shall be disclosed under the relevant heads separately.
- (7) Debts due by
- directors or other officers of the company or any of them either severally or jointly with any other person or
 - firms or private companies respectively in which any director is a partner or a director or a member should be separately stated.
- (b)** Audit procedures to verify existence and valuation assertions for work-in-progress are as under: -
- Attend inventory count in accordance with SA 501 and understand how work in progress is arrived at.
 - Evaluate work of management expert, if any, in this regard.
 - Ascertain how the various stages of production/ value additions are measured and in case estimates are made, understand the basis for such estimates.
 - Ascertain what elements of cost are included. If overheads are included, ascertain the basis on which they are included and compare such basis with the available costing and financial data/ information maintained by the entity.
 - Ensure that material costs exclude any abnormal wastage factors.
- (c)** The ascertaining of reporting objectives of engagement helps the auditor to plan timing of different audit procedures and also nature of communications. Some of the instances are given under: -
- The entity's timetable for reporting

- Organization of meetings to discuss of nature, timing and extent of audit work with management
 - Discussion with management regarding the expected type and timing of reports to be issued including the auditor's report
 - Discussion with management regarding the expected communications on the status of audit work throughout the engagement.
 - Expected nature and timing of communications among engagement team members, including the nature and timing of team meetings and timing of the review of work performed.
- (d) One of the factors affecting the form, content and extent of audit documentation relates to size and complexity of audit. Other factors are:
1. The nature of the audit procedures to be performed.
 2. The identified risks of material misstatement.
 3. The significance of the audit evidence obtained.
 4. The nature and extent of exceptions identified.
 5. The need to document a conclusion or the basis for a conclusion not readily determinable from the documentation of the work performed or audit evidence obtained.
 6. The audit methodology and tools used.
4. (a) It is important to carry out Tests of Controls for checking the effectiveness of internal control over sales as a part of the debtors' audit procedure. Following points need to be considered in respect of trade receivables:
- Only bona fide sales lead to trade receivables.
 - All such sales are made to approved customers.
 - All such sales are properly recorded in the books of accounts.
 - Once recorded, the debtors can be settled only by receipt of cash or on the authority of a responsible official.
 - Segregation of duties at every point in sales transaction. (accounting for debtors, collecting the payments, sending reminders etc.)
 - Debtors are collected on time.
 - In case debtors are not collected in time, sending reminders and taking legal actions if required.
 - Balances are regularly reviewed.

- A proper system of follow up exists and if necessary, adequate provision for bad debt should be made by preparing adequate ageing schedule of the debtors.

(b) Factors to be considered to form an opinion:

The auditor shall form an opinion on whether the financial statements are prepared, in all material respects, in accordance with the applicable financial reporting framework.

In order to form that opinion, the auditor shall conclude as to whether the auditor has obtained reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error. That conclusion shall take into account:

- (1) whether sufficient appropriate audit evidence has been obtained
- (2) whether uncorrected misstatements are material, individually or in aggregate.
- (3) The evaluations required
 - (i) The auditor shall evaluate whether the financial statements are prepared in accordance with the requirements of the applicable financial reporting framework.
 - (ii) This evaluation shall include consideration of the qualitative aspects of the entity's accounting practices, including indicators of possible bias in management's judgments.

(c) Preparation of financial statements involves making many judgments by management. These judgments may involve subjective decisions or a degree of uncertainty. Therefore, auditor may not be able to obtain absolute assurance that financial statements are free from material misstatements due to frauds or errors.

One of the premises for conducting an audit is that management acknowledges its responsibility of preparation of financial statements in accordance with applicable financial reporting framework and for devising suitable internal controls. However, such controls may not have operated to produce reliable financial information due to their own limitations.

Therefore, nature of financial reporting itself is one of causes inherent limitations of audit.

(d) As per Standard on Auditing (SA) 705 "Modifications to the Opinion In The Independent Auditor's Report", the objective of the auditor is **to express clearly an appropriately modified opinion on the financial statements that is necessary when:**

- (a) The auditor concludes, based on the audit evidence obtained, that the financial statements as a whole are not free from material misstatement; or
- (b) The auditor is unable to obtain sufficient appropriate audit evidence

to conclude that the financial statements as a whole are free from material misstatement.

5. (a) Audit of borrower client of bank carried out at bank's request to verify borrower's current assets- **Stock audit**

Limit up to which an entity can withdraw from sanctioned working capital limit- **Drawing power**

Statutory right of a creditor to adjust debit balance in debtor's account against any credit balance lying in another account of debtor- **Set-off**

Creation of security in a bank branch by mere delivery of title deeds by a prospective borrower of funds- **Equitable Mortgage**

- (b) Obtaining an understanding of the entity and its environment, including the entity's internal control, is a continuous, dynamic process of gathering, updating and analysing information throughout the audit. The understanding establishes a frame of reference within which the auditor plans the audit and exercises professional judgment throughout the audit, for example, when:

1. Assessing risks of material misstatement of the financial statements
2. Determining materiality in accordance with SA 320
3. Considering the appropriateness of the selection and application of accounting policies
4. Identifying areas where special audit consideration may be necessary, for example, related party transactions, the appropriateness of management's use of the going concern assumption, or considering the business purpose of transactions
5. Developing expectations for use when performing analytical procedures
6. Evaluating the sufficiency and appropriateness of audit evidence obtained such as the appropriateness of assumptions and of management's oral and written representations.

- (c) **Fee from Students:**

The fees concessions have to be under proper authority of college management. The auditor would verify internal controls in this regard. Besides, detailed checking of few cases needs to be undertaken to ensure genuineness of fees concessions and proper management approvals.

Other points to verify fee from students are :

1. Check names entered in the Students Fee Register for each month or term, with the respective Class Registers, showing names of students on rolls and test amount of fees charged; and verify that there operates a system of internal control which ensures that demands against the students are properly raised.

2. Check fees received by comparing counterfoils of receipts granted with entries in the Cash Book and tracing the collections in the Fee Register to confirm that the revenue from this source has been duly accounted for.
 3. Total up the various columns of the Fees Register for each month or term to ascertain that fees paid in advance have been carried forward and that the arrears that are irrecoverable have been written off under the sanction of an appropriate authority.
 4. Check admission fees with admission slips signed by the head of the institution and confirm that the amount has been credited to a Capital fund, unless the Managing Committee has taken a decision to the contrary.
 5. Confirm that fines for late payment or absence, etc. have been either collected or remitted under proper authority.
 6. Confirm that hostel dues were recovered before student's accounts were closed and their deposits of caution money refunded.
- (d) The audit engagement letter is sent by the auditor to his client. It is in the interest of both the auditor and the client to issue an engagement letter so that the possibility of misunderstanding is reduced to a great extent. Such a letter includes:
- (i) The objective and scope of the audit of the financial statements
 - (ii) The responsibilities of the auditor
 - (iii) The responsibilities of management
 - (iv) Identification of the applicable financial reporting framework for the preparation of the financial statements and
 - (v) Reference to the expected form and content of any reports to be issued by the auditor and a statement that there may be circumstances in which a report may differ from its expected form and content.
6. (a) **Risk of Material Misstatement – Greater for Significant Non-Routine Transactions:**
- Significant risks often relate to significant non- routine transactions or judgmental matters. Non-routine transactions are transactions that are unusual, due to either size or nature, and that therefore occur infrequently.
- Risks of material misstatement may be greater for significant non-routine transactions arising from matters such as the following:
- (i) Greater management intervention to specify the accounting treatment.
 - (ii) Greater manual intervention for data collection and processing.
 - (iii) Complex calculations or accounting principles.

- (iv) The nature of non-routine transactions, which may make it difficult for the entity to implement effective controls over the risks.

Keeping in view above, view of Auditor of Sunshine Ltd is correct.

- (b) While pointing out significant deficiencies in internal control, auditor has not only to communicate significant deficiencies giving their description but also explain the potential effects and sufficient information to those charged with governance and management to understand context of communication.

Therefore, the above communication is not proper. Not only significant deficiency has to be communicated, it should also be explained to management the potential effects of not following the standard instructions/ procedures specified in relation to various aspects of sales as stipulated by the management. It should explain that such a significant deficiency can lead to misstatement of revenue and trade receivables impacting profits of the company. Highlighting importance of such a control, it should be stated that responsibility be fixed for concerned persons for adhering to such an important control.

OR

Some general principles have been laid down in the Audit Code, which have for long been recognised as standards of financial propriety. Audit against propriety seeks to ensure that expenditure conforms to these principles which have been stated as follows:

- (1) The expenditure should not be prima facie more than the occasion demands. Every public officer is expected to exercise the same vigilance in respect of expenditure incurred from public moneys as a person of ordinary prudence would exercise in respect of expenditure of his own money.
- (2) No authority should exercise its powers of sanctioning expenditure to pass an order which will be directly or indirectly to its own advantage.
- (3) Public moneys should not be utilised for the benefit of a particular person or section of the community unless:
 - (i) the amount of expenditure involved is insignificant; or
 - (ii) a claim for the amount could be enforced in a Court of law; or
 - (iii) the expenditure is in pursuance of a recognised policy or custom; and
 - (iv) the amount of allowances, such as travelling allowances, granted to meet expenditure of a particular type should be so regulated that the allowances are not, on the whole, sources of profit to the recipients.
- (c) The auditor needs to direct efforts of engagement team towards matters that in his professional judgment are significant. Preliminary identification of material classes of transactions, account balances and

disclosures helps auditor in establishing overall audit strategy. More energies need to be devoted to significant matters to obtain desired outcomes. Few examples are listed as under: -

- Volume of transactions which may determine whether it is more efficient for the auditor to rely on internal control
- Significant industry developments such as changes in industry regulations and new reporting requirements.
- Significant changes in the financial reporting framework, such as changes in accounting standards.
- Other significant relevant developments, such as changes in the legal environment affecting the entity.

- (d)** Clause (ix) (d) of CARO, 2020 whether funds raised on short term basis have been utilised for long term purposes, if yes, the nature and amount to be indicated.

In the given situation, funds have been raised for meeting working capital requirements for ₹ 4 crores. Cash credit facilities for meeting working capital requirements are, by their very nature, short term borrowings. Out of above, ₹ 1 crore have been used by the company for investment in effluent treatment plant which is ostensibly for a long-term purpose.

Hence, the matter needs to be reported in accordance with requirements of Clause (ix) (d) of CARO, 2020.